

tech stack to create a large pool of sellers and buyers, and sharing that with an open network is the last thing they want to do. "If the government's idea is to create an alternative to these platforms and create competition, why are they asking the companies to join the platform?" is the pointed query of another executive at a marketplace. "You are asking to put all my sellers on your network... it is only saying 'come and annihilate and destroy yourself, then we will assimilate you fully.'" For now, the logistics services of Flipkart and Amazon have joined ONDC, and industry observers tell *BT* that would be it for the foreseeable future.

Shireesh Joshi, Chief Business Officer at ONDC, hopes when the network achieves significant scale, existing marketplaces will join the bandwagon. Currently, marketplaces are a full system, aggregating all the various commissions under a single bucket because they manage all the parts. ONDC mandates existing marketplaces to join both as a buyer and a seller application. It doesn't want them to take the benefit of one part and not contribute to the other. "Instead of earning all that money in one place, they will earn in three places across buyer, seller and logistics sides. The sum of those three most likely will not be at the level at which it is today for them," says Joshi. "On the positive side, you have an opportunity to help your customers access a larger selection of products, and your sellers access a larger set of buyers. There is an opportunity to compensate for whatever drop in commission they suffer by accessing a much larger pool of transactions."

Between the buyer applications collectively, ONDC currently has more than 50 million 'potential' buyers. The hypothesis is that as more buyer applications go live, its buyer pool will grow and sellers registered on existing marketplaces may not wait for them to join ONDC. They would join anyway. So would their customer base who may find better price and selection on the network.

However, that is still a distant reality. Established players like Amazon and Flipkart see lakhs of orders daily. As per consulting firm Redseer, 75-80 million

shoppers placed orders just in the first week of season sales (between September 22 and October 23 of 2022). And during the entire one-month-long festive season, 115-125 million shoppers placed orders across platforms, resulting in online goods worth ₹76,000 crore being sold. ONDC needs to create a much larger pool of sellers and increase order volumes by several folds to even begin imagining seller-buyer migration from marketplaces.

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ONDC OFFICIALS SAY they understand the challenges, and the team is pursuing a structured approach to integrate a wide range of participants, including large corporations as well as the 120 million *kirana* stores across the country. Both have unique challenges.

ONDC has set up a dedicated team, under the guidance of Harishankar K., former Kimberly-Clark and Unilever executive, to work with the industry to help them fathom ONDC's transformational possibilities and persuade the top management to make strategic changes. Some large FMCG firms including ITC, HUL, Nivea and Dabur are being integrated into the network currently. "For FMCG companies like ITC, which make products for everyday consumption at all price points for all sections of society, a network that allows universal access for buyers to our products is a great opportunity," says B. Sumant, Executive Director at ITC. "To leverage this opportunity, it is essential that we help ONDC onboard as many retailers as possible and ensure that the retailers have the right assortment relevant to their customers."

On the other end, the seller apps are aggressively on-boarding small merchants and ONDC is building dedicated internal teams to help them on the sales, op-

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THE NETWORK EFFECT

► **Users now have to locate the ONDC tab on buyer apps and search for products, as they are not identifiable by branding. ONDC expects buyer apps to integrate all of them into general searches with branding**

► **From urban hyperlocal with PhonePe to value fashion with Mee-sho, rural B2B with Spice Money and mobility with JustPay, ONDC aims to empower e-commerce players to expand and catalyse market growth**

► **The real opportunity for seller apps lies in offering tech solutions for cataloguing and inventory management, and financial services such as lending and other alternative finance offerings to their merchants**

► **Being an open network where market forces driven by competition decide commissions, ONDC is expected to lower operating costs for small sellers and change the way e-commerce is done now**